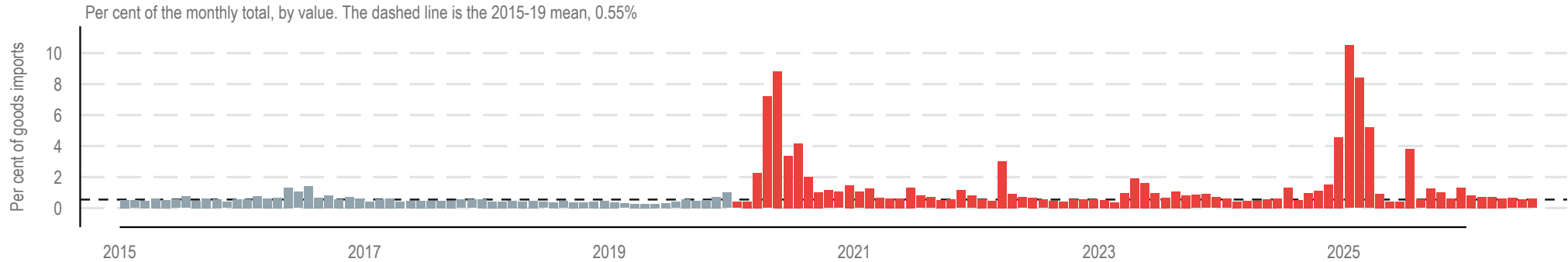


A weight set two years late cannot see a component whose share moved twentyfold

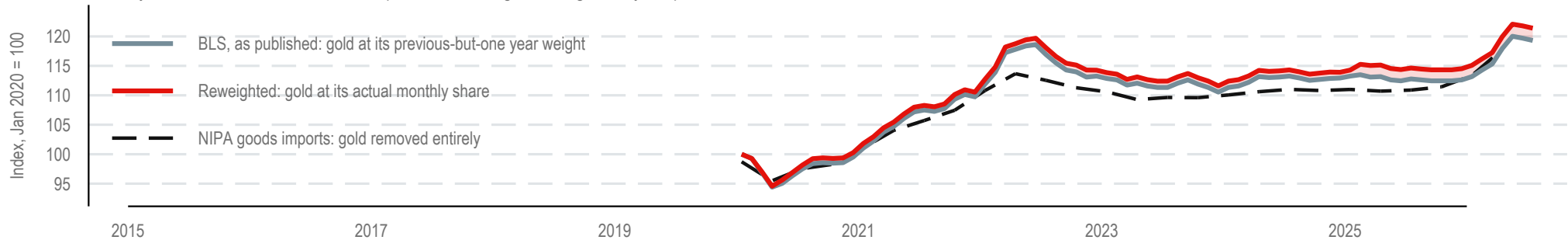
Gold is in the import price index, at its share from the previous-but-one year.
Its actual share of US goods imports reached 10.5% in January 2025. Reweighting it at the share it actually had adds 2.1 points to import price inflation since 2020

Gold's share of US goods imports



The import price index, as published and reweighted for gold

January 2020 = 100. Three answers to one question: what weight should gold carry in a price index for trade?



The correction is the standard index-number term $(s_t - w_t) \times (\text{gold inflation} - \text{non-gold inflation})$, with non-gold inflation backed out of the published index given w_t . The weight is NOT assumed: BLS reweights every January from Census annual trade values on a two-year lag, so w_t is the previous-but-one year's share, computed here from the same Census pull. Gold inflation is BLS's own nonmonetary gold index (EIUR14270), not a price proxy. An earlier version of this figure assumed a fixed 0.5% weight and an LBMA proxy and put this wedge at 2.4 points; on the computed weight it is 2.1, or 1.7 points expressed as a cumulated log bias from January 2020.

This does NOT affect published GDP: BEA removes nonmonetary gold from the national accounts, so they are not deflated through this index. It affects real trade series built from the trade release, and nowcasts bridging from them.

DO NOT READ THE NIPA LINE AS THE GOLD EFFECT. It is quarterly, it excludes gold by construction, and it sits below the published index - but it is also a chain-Fisher index over a different basket, and tested against gold directly the gap does not track it: the correlation between the quarterly NIPA-BLS gap and the predicted gold term is -0.15, and in 2025Q1 the observed gap was seven times the size gold can account for. It is shown because it is what BEA does when it decides gold does not belong in a trade aggregate, not as a measurement of this bias